

Greater China Auto Parts (H)

July wrap: 2Q26 results expectations pricing in; humanoid robot sentiment weak

Industry Overview

China Auto-parts Index down 7% in July

In July, the Wind China Auto-parts Index was down 7% (vs. -8% in June), underperforming the SSE Composite Index (-6% YoY) and underperforming the Hang Seng Index (+13%). CPCA estimates China PV retail sales were down 17% YoY/5% MoM at 1.52mn units in July. Among major EV brands, YoY sales of Leapmotor/NIO outperformed peers in July.

Fuyao-H traded ahead; Sanhua behind

In July, among our coverage, Fuyao-H share price rose 16% on resilient 2Q26 result expectation. On the other hand, Sanhua (-14%) underperformed due to concerns on intensifying competition, margin pressure in thermal management components, and slower commercialization of humanoid robots.

2Q26/1H26 preview: a mixed bag; margins the key focus

For 2Q26/1H26 results, most auto parts companies are expected to be affected by softer China demand, with stronger overseas sales and market-share gains partly offsetting the weakness. Fuyao, Minth and Nexteer are expected to benefit from international growth and customer-share expansion, helping ease domestic volume pressure. Profitability diverged across the sector. Fuyao is expected to maintain resilient 2Q26 margins, supported by ASP expansion, market-share gains and operating leverage. In contrast, Minth and Nexteer should face margin headwinds from raw material inflation and annual price cuts.

Metal prices mostly up; plastic rebound, freight costs up

Material prices: copper +3% MoM; aluminum +5% MoM; and steel -2% MoM in July. The plastic price index was +7% MoM in July, starting to rebound. **Freight costs:** The China export container freight index was +9% MoM in July, continuing upward trend. **FX:** USD/EUR/MXN was flat/-0.8%/-0.4% against CNY, in July vs. June.

Key things to watch in Aug; top picks: Fuyao, Minth

The key things to watch for in August: (1) 2Q26 results, in particular margin trends; (2) Tesla's humanoid robot Optimus V3 to commence production; (3) price trends of raw materials such as memory chips; (4) new model launches: BYD Da Han, Xpeng G9L, Denza Z9S, Stelato G9, MAEXTRO V680/800. Our top picks are Minth, Fuyao.

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Equity
Greater China
Autos

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EV: electric vehicle
PV: passenger vehicle
ASP: Average selling prices

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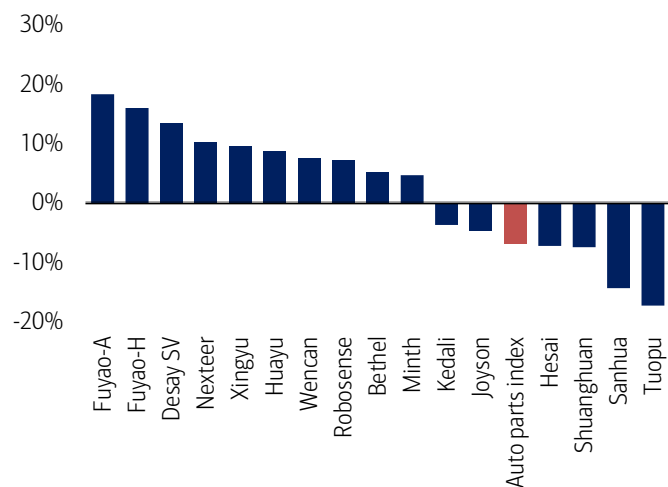
Refer to important disclosures on page 7 to 11. Analyst Certification on page 5. Price Objective Basis/Risk on page 4.

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Timestamp: 05 August 2026 10:54AM EDT

Exhibit 1: Auto-parts stock performance in July 2026

Fuyao-A/-H (+18/+16%), and Desay (+13%) outperformed the Auto parts index in July

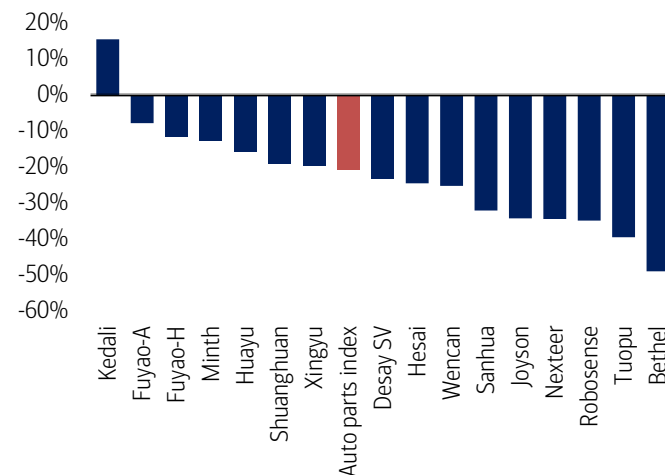


Source: Wind

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Exhibit 2: Auto-parts stock performance in 7M26

Kedali was up 16% in 7M26, outperforming peers

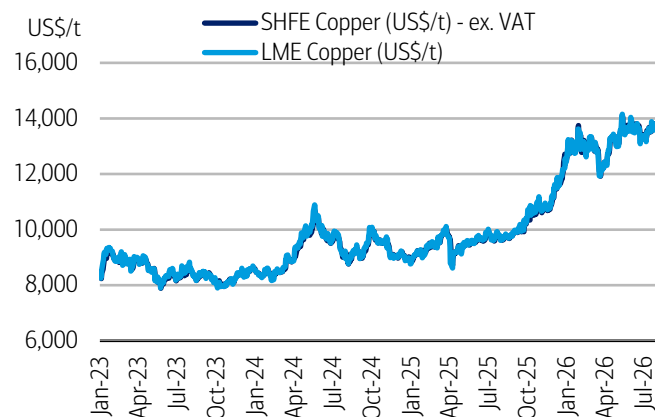


Source: Wind

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Exhibit 3: Material price - copper

SHFE +3% MoM in July 2026

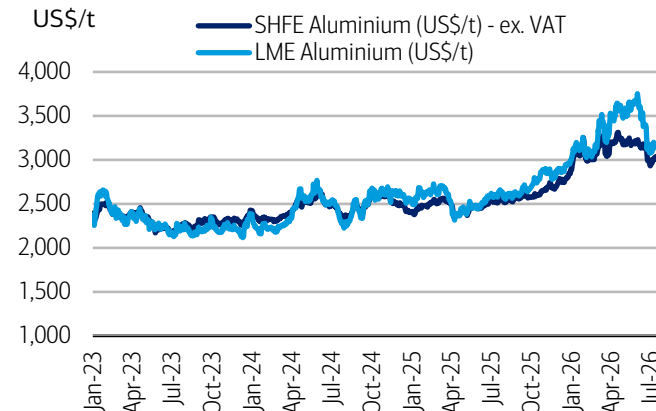


Source: Bloomberg

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Exhibit 4: Material price - aluminum

SHFE +5% MoM in July 2026

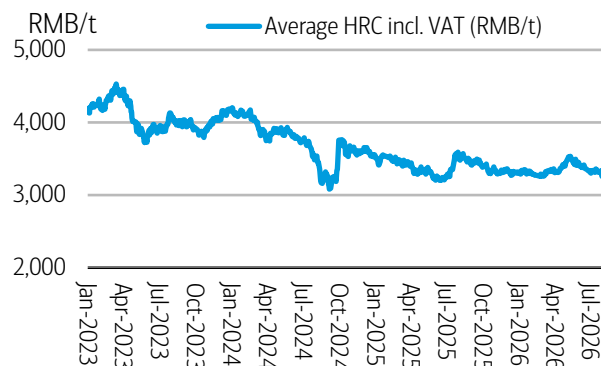


Source: Bloomberg

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Exhibit 5: Material price - steel

Down 2% MoM in July 2026

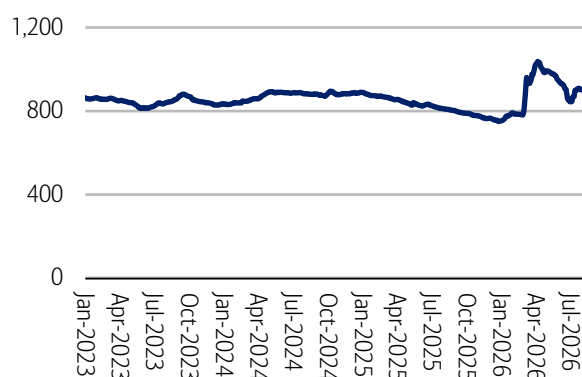


Source: Wind

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Exhibit 6: China plastic price index

Up 7% MoM in July 2026

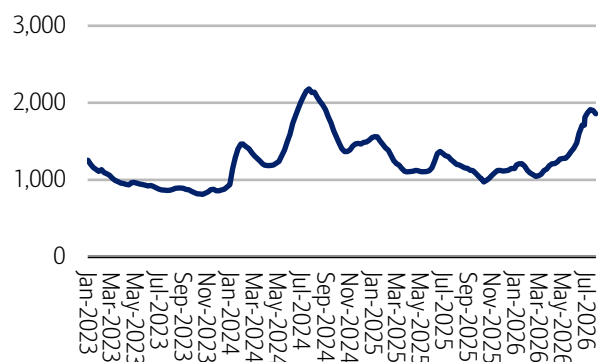


Source: Wind. Note: index benchmark = 1,000 as of 1st Jan 2010

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Exhibit 7: China export container freight index

Up 9% MoM in July-2026

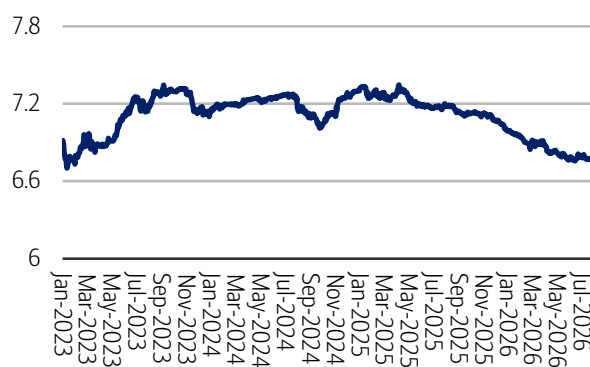


Source: Wind. Note: index benchmark = 1,000 as of 1st Jan 1998

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Exhibit 8: USD/CNY exchange rate

Average USD/CNY FX rate flat MoM to 6.78 in July 2026 from 6.78 in June 2026

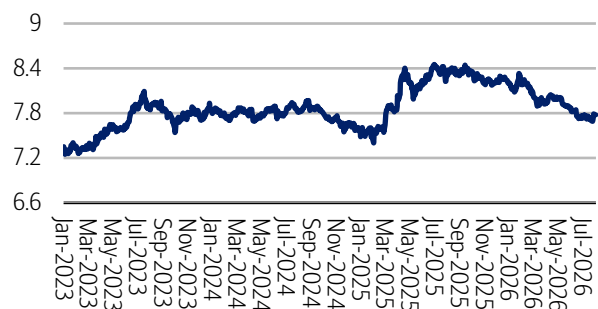


Source: Wind

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Exhibit 9: EUR/CNY exchange rate

Average EUR/CNY FX rate down 0.8% to 7.74 in July 2026 from 7.80 in June 2026

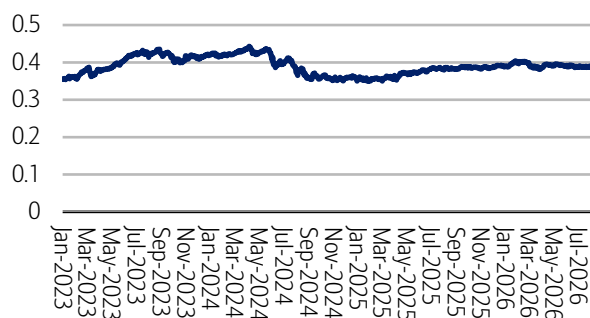


Source: Wind

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Exhibit 10: MXN/CNY exchange rate

Average MXN/CNY FX rate down 0.4% to 0.39 in July 2026 from 0.39 in June 2026



Source: Wind

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Exhibit 11: Stocks mentioned

Rating and price summary

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
FIGIF	3606 HK	Fuyao Glass-H	HK\$ 57.85	B-1-7
MNTHF	425 HK	Minth	HK\$ 28.96	C-1-7
ZSINF	2050 HK	Sanhua	HK\$ 27	C-3-7

Source: BofA Global Research

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Price objective basis & risk**Fuyao Glass (FIGIF)**

Our PO for Fuyao-H of HKD75 is based on 17x over 2H26-1H27E EPS which is in line with the company's historical average as we believe Fuyao's steady market share gain and increasing value-added content momentum to continue.

Downside risk: 1) fails to utilize its overseas manufacturing facilities fully, 2) auto market weakens, 3) Oil/gas prices shoot up, as energy costs are a major cost component, 4) Fuyao fails to execute its product mix upgrade and ASP improvement, 5) uptake of sunroof sales slows, 6) large RMB appreciation due to overseas revenue, 7) further development from the investigation could disrupt operation, and growth of its US subsidiaries.

Upside risks: 1) R&D breakthroughs in value-added glass products, 2) margin upside from an ASP increase, 3) faster vehicle penetration increase in China, 4) rapid scale-up in overseas plant utilization.

Minth (MNTHF)

Our PO is HK\$40, based on 12x on the 2H26 & 1H27 EPS. We arrive at our target multiple of 12x, based on its 1SD above the historical 3-years average PER. We think this is warranted, as we see opportunity for the stock to trade above its historical PER, given its new businesses.

Downside risks: increasing trade tariff from China and Mexico to the US market, volatile margin in overseas plants, lower margin in battery housing business, and FX volatility.

Zhejiang Sanhua (ZSINF)

Our PO of HKD30 is based on SOTP valuation methodology.

SOTP valuation:

Refrigeration business: we apply 15x target P/E over 2026E net profit. Our target P/E (15x) is based on 1.0x PEG over 15% 2026-28E earnings CAGR.

Auto parts business: we apply 15x target P/E over 2026E net profit. Our target PER of 15x is based on 1.3x PEG (in-line with peers average) over 12% 2026-28E earnings CAGR. We believe this is justified given 1) Sanhua having high market share in key components and being a well-recognized supplier globally in the thermal management industry, 2) Sanhua's edge and leading R&D capability, which should support the company in maintaining leading position in the field, 3) its ROE is at a supreme level vs industry average.

Humanoid robot business: we apply 50x target P/E to its 2030E net profit from humanoid robot components. Our target PER of 50x mainly is supported by (1) global humanoid robot shipments to see exponential growth from 20k units in 2025 to 1.2mn units in 2030E, and (2) this is in-line with other leading Chinese suppliers who are involved in Tesla's Optimus supply chain (Tuopu, Hengli). Lastly, we discount 2030E

implied value to 2026E implied value with 11.0% WACC.

Risks: Lower growth in household and commercial refrigeration industry, China/Global auto/EV market demand and growth deceleration, Raw material price hikes,

Upside risks: Higher growth in household and commercial refrigeration, China/Global auto/EV market demand and growth accelerates.

Analyst Certification

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	Ashok Leyland	XDBVF	AL IN	Gunjan Prithyani
	Astra International	PTAIF	ASII J	Jessie Lo
	Bajaj Auto	XBJBF	BJAUT IN	Gunjan Prithyani
	Bethel	XBETF	603596 CH	Joey Yang, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
	BYD	BYDDF	1211 HK	Ming Hsun Lee, CFA
	BYD	XYMPF	002594 CH	Ming Hsun Lee, CFA
	BYD	BYDDY	BYDDY US	Ming Hsun Lee, CFA
	CALB	XCLSF	3931 HK	Ming Hsun Lee, CFA
	CATL	XMOQF	300750 CH	Ming Hsun Lee, CFA
	CATL	CTATF	3750 HK	Ming Hsun Lee, CFA
	CFMOTO	XCZOF	603129 CH	Joey Yang, CFA
	Chery Auto	XCAVF	9973 HK	Joey Yang, CFA
	DENSO	DNZOF	6902 JP	Shiro Sakamaki
	Desay SV	XGDF	002920 CH	Joey Yang, CFA
	EVE	XEVF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XGIF	600660 CH	Jessie Lo
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo
	Geely	GELVF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hesai	HSAL	HSAL US	Jessie Lo
	Hesai	XHGZF	2983 HK	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Isuzu Motors	ISUZF	7202 JP	Shiro Sakamaki
	Joyson	XQMWF	600699 CH	Fiona Liang
	Joyson	XJYSF	699 HK	Fiona Liang
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Nexteer	NTXVF	1316 HK	Joey Yang, CFA
	NHK Spring	NHKG	5991 JP	Shiro Sakamaki
	Ninebot	XNLTF	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	Shenzhen Kedali	XWCSF	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	WRDIF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Yikai Liu, CFA
	Wuxi Lead	XLDF	470 HK	Yikai Liu, CFA
	Xingyu Automotive Lighting	XLIXF	601799 CH	Joey Yang, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yadea	YADGF	1585 HK	Joey Yang, CFA
NEUTRAL				
	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTFW	NIO SP	Ming Hsun Lee, CFA
	SAMIL (Motherson International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyota Gosei	TGOSF	7282 JP	Shiro Sakamaki
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani
	VOYAH	XRITF	7489 HK	Ming Hsun Lee, CFA
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang
UNDERPERFORM				
	Aima Technology	XIHBF	603529 CH	Joey Yang, CFA
	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	Ehang	EH	EH US	Fiona Liang
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardine Matheson SEA	JCYCF	JCNC SP	Jessie Lo
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherson Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELEC IN	Gunjan Prithyani
	SAIC Motor	XZNJF	600104 CH	Ming Hsun Lee, CFA
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Seres	XSGLF	9927 HK	Joey Yang, CFA
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	Yongda	CYYHF	3669 HK	Joey Yang, CFA
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhejiang Sanhua	ZSINF	2050 HK	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA

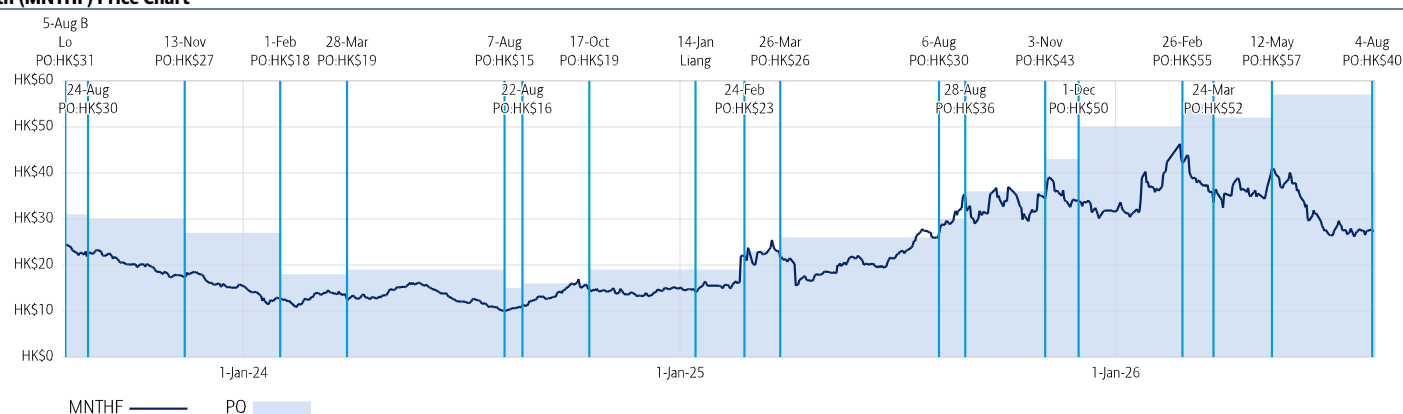
Disclosures

Important Disclosures

Fuyao Glass-H (FIGIF) Price Chart

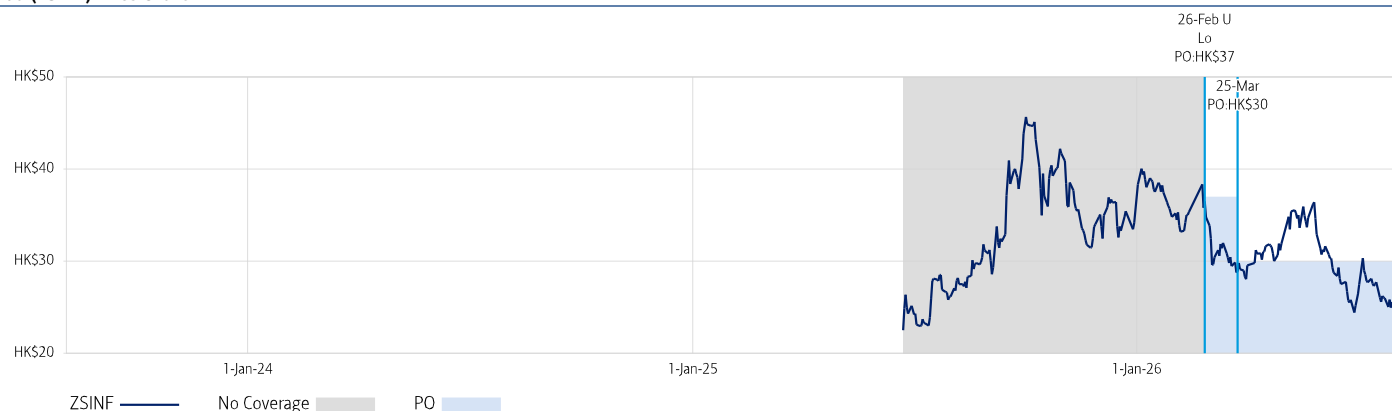
B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Minth (MNTHF) Price Chart

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Sanhua (ZSINF) Price Chart

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Buy	75	56.39%	Buy	41	54.67%
Hold	28	21.05%	Hold	18	64.29%
Sell	30	22.56%	Sell	17	56.67%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

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Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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